

Piedmont Triad Economic Activity Index

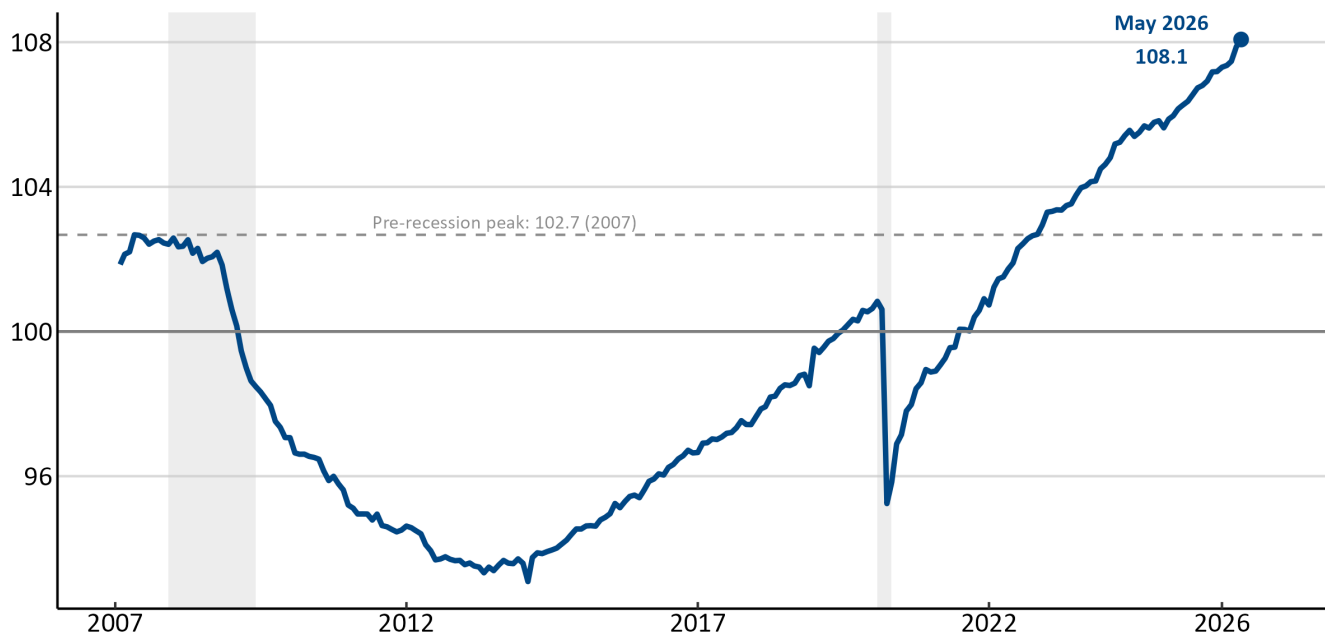
Monthly Report — May 2026

Willie A. Deese College of
Business and Economics

May 2026 — As of **May 2026**, the Piedmont Triad Economic Activity Index stands at **108.1** (2019 = 100), above its pre-pandemic baseline by 8.1 points and 5.4 points above the pre-recession peak of 102.7 recorded in 2007 — the highest level in the index's 19-year history. Growth momentum stands at **81 out of 100**, above the 50-point neutral threshold, indicating that recent growth is running faster than the region's historical norm. Labor utilization — average weekly hours relative to 2019 norms — registers **98.3**, below the baseline.

Piedmont Triad Economic Activity Index

Index level (2019 = 100)

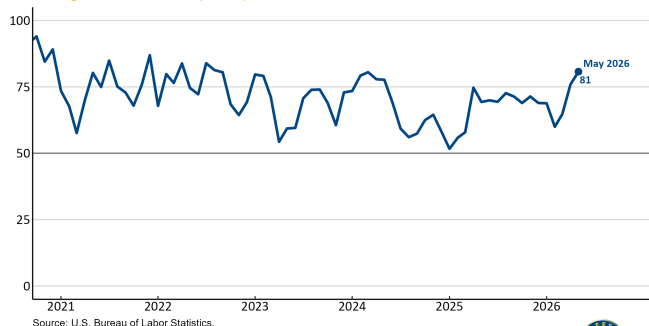


Source: U.S. Bureau of Labor Statistics.



Piedmont Triad Economic Growth Momentum

Readings above 50 indicate expansion; below 50 indicate contraction.

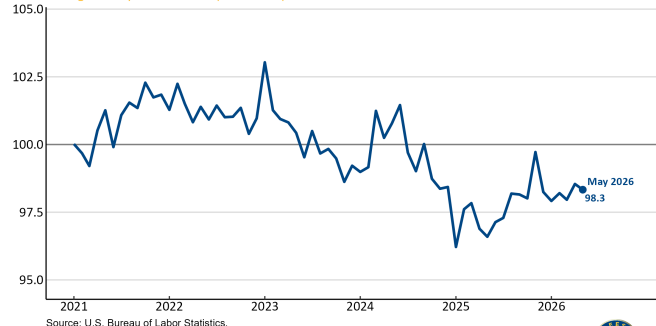


Source: U.S. Bureau of Labor Statistics.



Piedmont Triad Labor Utilization

Average weekly hours worked (2019 = 100)



Source: U.S. Bureau of Labor Statistics.



Methodology: Composite index of employment, unemployment, average weekly hours, and average hourly earnings across the Greensboro–High Point, Winston–Salem, and Burlington MSAs. Constructed via principal component analysis on seasonally adjusted BLS series (X-13-ARIMA-SEATS), calibrated to employment growth via OLS, and rebased to 2019 = 100. **Data:** U.S. Bureau of Labor Statistics, Local Area Unemployment Statistics and Current Employment Statistics programs.

Reading the Index

What the Numbers Mean — May 2026

Willie A. Deese College of
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What is the Piedmont Triad Economic Activity Index?

The Piedmont Triad — encompassing the Greensboro–High Point, Winston–Salem, and Burlington metropolitan areas — is one of North Carolina’s largest and most economically dynamic regions. Over the past three decades it has navigated a profound structural transformation, moving away from its legacy base in furniture, textiles, and tobacco toward a more diversified economy anchored in healthcare, logistics, advanced manufacturing, defense, and financial services. Tracking that evolution, and knowing where the region stands at any given moment, requires more than any single data series can provide.

The Piedmont Triad Economic Activity Index (AEI) was developed to meet that need. Prepared monthly by Dr. Alfredo A. Romero, Department of Economics, Willie A. Deese College of Business and Economics, NC A&T State University, the AEI combines four labor market indicators drawn from the U.S. Bureau of Labor Statistics — payroll employment, unemployment, average weekly hours, and average hourly earnings — across all three metropolitan areas. Rather than reporting each series in isolation, the index uses principal component analysis to distill them into a single monthly number that captures their common economic signal. The underlying data are seasonally adjusted, calibrated so that movements in the index correspond directly to regional employment growth, and rebased so that the 2019 average equals 100. That makes the pre-pandemic year the standard reference point, giving readers a stable and familiar baseline against which to measure current and future conditions.

Index Level: 108.1

At **108.1** (2019 = 100), the Triad’s economy has not only fully recovered from the COVID-19 shock but has expanded meaningfully beyond its pre-pandemic level — 8.1 points above the 2019 baseline. Notably, the current reading also surpasses the pre-recession peak of 102.7 recorded in mid-2007, placing the Triad’s economy at its highest level in the index’s 19-year history. For historical perspective: after the 2008–09 recession, the region spent roughly six years working its way back to its pre-crisis level before eventually surpassing it. The current post-pandemic expansion has been faster and, by this measure, more complete.

A reading above 100 means the combined signal from employment, hours, and earnings across the three MSAs is running ahead of where it stood before COVID-19; a reading below 100 would indicate an incomplete recovery or a subsequent pullback. The level chart on the previous page places the current reading in the full sweep of history from 2007 onward — through the Great Recession trough, the long post-2009 climb, the sharp but brief COVID contraction of 2020, and the expansion that followed. That long-run perspective is what makes the level chart the centerpiece of this report: it tells you not just where the Triad economy is today, but the arc that brought it here.

Growth Momentum: 81 out of 100

If the index level is the scoreboard, growth momentum is the speedometer. It measures not where the Triad economy currently stands, but how fast it is moving — and whether that pace is building or fading relative to the region’s own history. The score is constructed from the 3-month average growth rate of the index, transformed onto a 0-to-100 scale designed to be read at a glance: 50 is the neutral midpoint, above 50 signals above-average growth, and below 50 signals that growth has slowed or stalled relative to historical norms.

At **81**, momentum is above the 50-point neutral threshold, indicating that recent growth is running faster than the region’s historical norm. For business leaders and regional policymakers, the combination of an index level above 100 and momentum well above 50 is a favorable alignment: the Triad is not merely holding the gains of the post-COVID recovery but continuing to build on them. Periods of sustained readings at this level have historically coincided with job creation, rising consumer spending, and increased investment activity across the region. At the same time, momentum is a forward-leaning indicator — a drop toward or below 50 would be an early warning that the expansion is losing steam, a signal worth tracking even while the headline level index remains strong.

Labor Utilization: 98.3

Labor utilization measures average weekly hours worked per employee, indexed so that the 2019 average equals 100. It captures a dimension of regional labor conditions that payroll counts alone cannot: the *intensity* with which the existing workforce is being deployed. Employers routinely adjust hours before they adjust headcount — trimming shifts or cutting overtime when business conditions soften, then extending hours before committing to permanent new hires when conditions improve. This behavioral pattern means labor utilization is typically one of the first places where changes in the economic climate show up, making it a practical leading indicator within the composite.

At **98.3**, workers are logging fewer hours than before the pandemic, pointing to slack in labor demand that the headline index may not fully capture. The 1.7-point gap from the 100 baseline is modest and within the normal range of historical variation, but its persistence alongside a headline index above 100 is worth noting. One reading is that Triad employers still have room to intensify the use of their current workforce before needing to add significant new positions — a pattern that, if demand continues to grow, could precede a new wave of hiring. For workforce planners, economic developers, and university partners tracking regional labor conditions, labor utilization provides an early-warning lens that the headline level alone cannot supply.

About this report: Prepared by Dr. Alfredo A. Romero, Associate Professor of Economics and Chair, Department of Economics, Willie A. Deese College of Business and Economics, NC A&T State University, and former Senior Economist of the U.S. Congressional Joint Economic Committee. The AEI is updated monthly as BLS data become available. Eigenvector weights are locked annually and revise every December to accommodate BLS benchmark revisions. Contact: aaromero@ncat.edu. *The views expressed in this report are those of the author alone and do not represent the official views or positions of the Department of Economics, the Willie A. Deese College of Business and Economics, or NC A&T State University.*